Practice workbook · Communication: methods, barriers and why it matters

Internal and external communication, choosing a communication method, barriers to communication, and the problems of ineffective communication and how to remove them.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-01

1. Question 2 · part c · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

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(c) Explain **one** impact on a business of ineffective communication.

(3)

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1. Question 2 · part c · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

(d) Explain **one** advantage to a business of having a decentralised organisation.

(3)

(e) Explain **one** benefit to a business of using seasonal employees.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.ii · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.ii only.

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1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

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(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

2. Question 1 · part a.ii · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.ii only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

Kraft Heinz uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

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2. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) State **one** reason why *Starbucks* should have good communication with its customers.

(1)

(b) State **one** way *Starbucks* could follow health and safety legislation.

(1)

(c) Explain **one** reason why many manufacturing businesses use just-in-time (JIT).

(3)

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3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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4. Question 1 · part f · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

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4. Question 1 · part f · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(b) Define the term **job production**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** method *Can Culleretes* could use to collect quantitative market research.

(1)

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Figure 1 is an extract from *Can Culleretes'* cash-flow forecast.

	June
Opening balance	€4 400
Cash inflow	€4 600
Cash outflow	€3 000
Net cash flow	

Figure 1

(e) Calculate the net cash flow for *Can Culleretes* in June. You are advised to show your working.

(2)

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Turn over ▶

4. Question 1 · part f · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(f) Explain **one** benefit to a business of improving communication with its employees.

(3)

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4. Question 1 · part f · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Can Culleretes is looking to launch an app that allows customers to order their meals in the restaurant using their mobile phones.

(g) Analyse the likely impact on productivity if *Can Culleretes* launches this app.

(6)

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(Total for Question 1 = 20 marks)

4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part c · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

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5. Question 2 · part c · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** advantage of a partnership.

(3)

(e) Explain **one** disadvantage to a business of product orientation.

(3)

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5. Question 2 · part c · 3 marks · Working and answer

Working and answer

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6. Question 2 · part d · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part d only.

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2 (a) State **one** factor *Four Fitness* may consider when choosing a location for its new gym.

(1)

(b) State **one** reason why branding is important to *Four Fitness*.

(1)

(c) Explain **one** advantage to a business of using total quality management.

(3)

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6. Question 2 · part d · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part d only.

(d) Explain **one** problem a business might face as a result of ineffective communication.

(3)

(e) Explain **one** disadvantage to a small business of borrowing money from a bank.

(3)

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6. Question 2 · part d · 3 marks · Working and answer

Working and answer

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7. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

7. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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7. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

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An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

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(c) Define the term **qualitative data**.

(1)

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7. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(d) State **one** reason why *Rabanne* may use test marketing when introducing a new product.

(1)

In Europe a *Rabanne* handbag costs €1 590.00 (euro).

The exchange rate is €0.93 = $1.00

(e) Calculate, to two decimal places, the price of the handbag in US dollars. You are advised to show your working.

(2)

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(f) Explain **one** reason why an employer might use a letter to communicate with an employee.

(3)

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7. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(g) Analyse **two** benefits to *Rabanne* of being a global business.

(6)

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(Total for Question 1 = 20 marks)

7. Question 1 · part f · 3 marks · Working and answer

Working and answer

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8. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

3 *NEXT* works hard to remain competitive with other retailers of similar products.

(a) Define the term **economies of scale**.

(1)

(b) Outline **one** reason why *NEXT* uses special offers.

(2)

Of *NEXT*'s 43,000 employees, 70% are women.

(c) Calculate the number of women working at *NEXT*. You are advised to show your working.

(2)

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8. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse why *NEXT* would want to remove any communication barriers within its organisation.

(6)

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8. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

NEXT understands that some employees are motivated by non-financial methods and these may help with employee retention. To do this *NEXT* is considering the following two options:

Option 1: job rotation

Option 2: job enrichment.

(e) Justify which **one** of these two options *NEXT* should choose.

(9)

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8. Question 3 · part d · 6 marks · Working and answer

Working and answer

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9. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Define the term **secondary sector**.

(1)

(b) Outline **one** way *Café Pinch* could use social media to promote its business.

(2)

Figure 1 is an extract of the statement of comprehensive income for *Café Pinch*.

Revenue	€103 825
Gross profit	€66 842
Other operating expenses	€5 782

Figure 1

(c) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

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9. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) Analyse **two** factors *Café Pinch* might consider when measuring its success.

(6)

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9. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Kumaran understands the importance of communication and the benefits it brings. He is looking to improve communication with his employees. *Café Pinch* is considering two options:

Option 1: updating the noticeboard in the staffroom daily with information such as sales targets and staff rotas

Option 2: weekly staff meetings.

(e) Justify which **one** of these two options *Café Pinch* should choose.

(9)

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9. Question 3 · part e · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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9. Question 3 · part e · 9 marks · Working and answer

Working and answer

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10. Question 2 · part f · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 *Rabanne* aims to be the best provider of fragrances for men and women throughout the world. Therefore, it uses a range of methods to make sure it will achieve this aim.

(a) State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities.

(1)

(b) State **one** way *Rabanne* could measure its success as a business.

(1)

(c) Explain **one** reason why some businesses fail.

(3)

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10. Question 2 · part f · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** reason why a business would use targeted advertising online to promote itself.

(3)

(e) Explain **one** reason why businesses use statements of comprehensive income when making decisions.

(3)

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10. Question 2 · part f · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Rabanne is finding that communicating with its employees around the world is becoming more difficult. Employees are also finding problems in communicating with each other.

Rabanne is considering the following two options to help improve communication within the business:

Option 1: communicate all information through text messaging/email

Option 2: hold weekly meetings.

(f) Justify which **one** of these two options *Rabanne* should choose.

(9)

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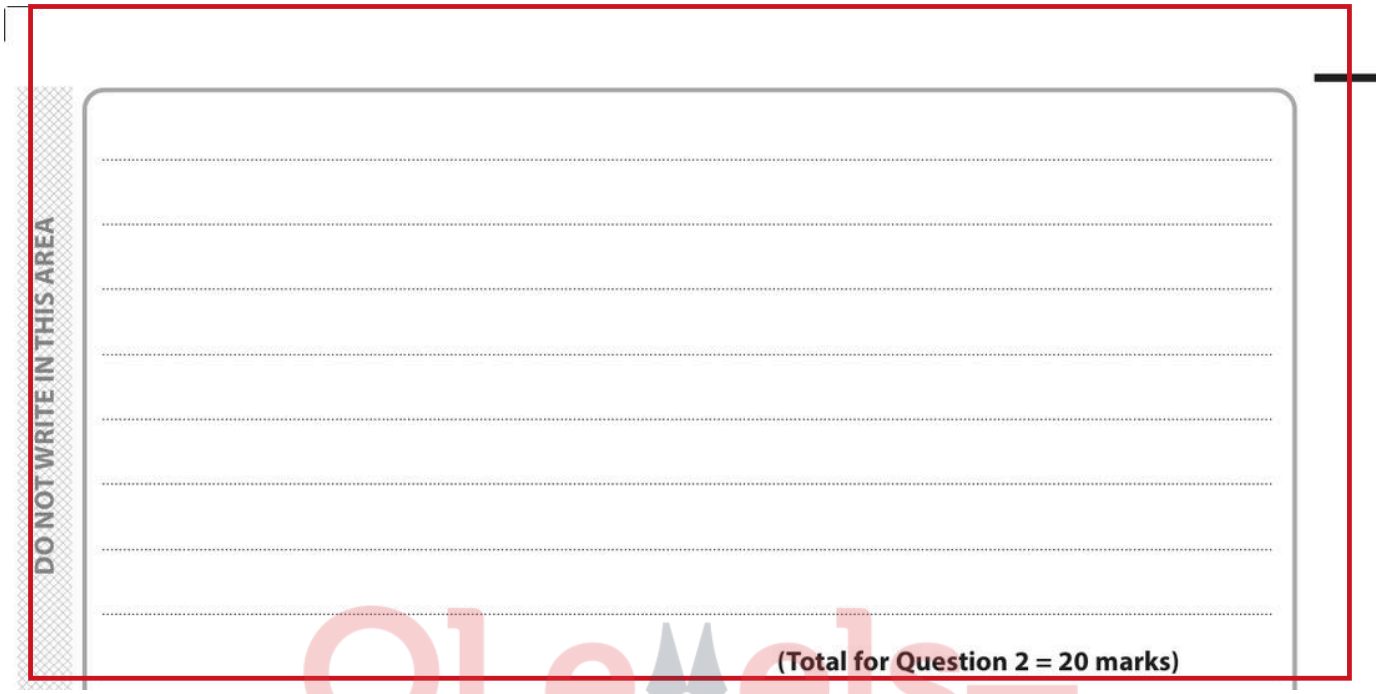
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10. Question 2 · part f · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.



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10. Question 2 · part f · 9 marks · Working and answer

Working and answer

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

4 *TBTS* lets customers sign up for a Very Important Person (VIP) membership on its website. The website gives VIP members special rates and exclusive offers.

TBTS sells dinosaur toys for 22.80 SGD. VIP members get a discount of 15%.

(a) Calculate the total cost to a VIP member of buying 17 dinosaur toys.
You are advised to show your working.

(2)

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

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Figure 2 shows the acid test ratios for *TBTS*.

2018	2019	2020
0.75	0.87	0.88

Figure 2

(b) Analyse the usefulness to *TBTS* of the acid test ratio.

(6)

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

(c) Evaluate the importance of good internal and external communication to *TBTS*. You should use the information provided as well as your own knowledge of business.

(12)

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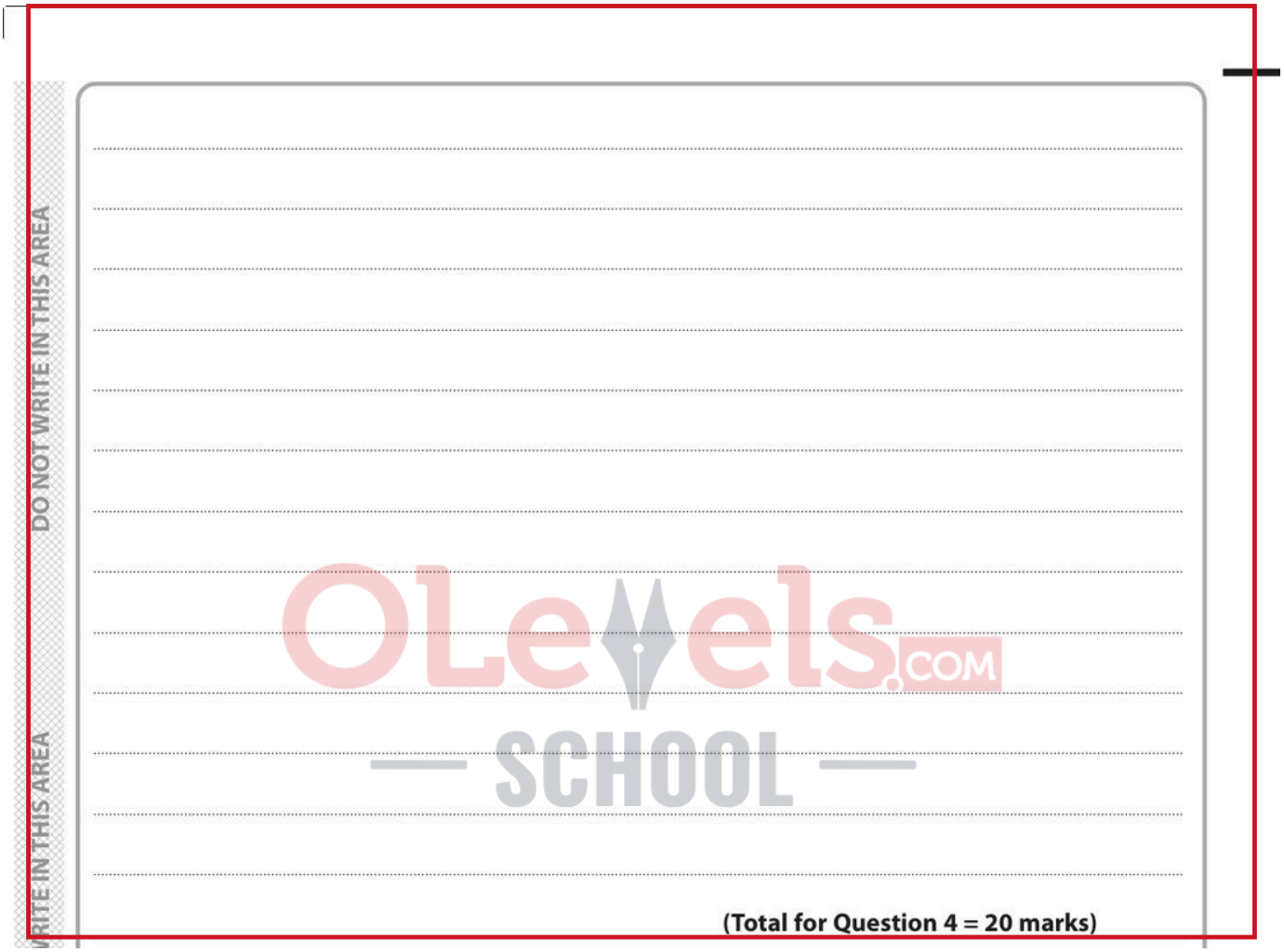
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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.



11. Question 4 · part c · 12 marks · Working and answer

Working and answer

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